

When a company can build book value per share over time at a high clip, that means it has the power to invest at high rates of return.

The second point I want to make is how time is your friend when you own such stocks. In just 16 years, Home Capital multiplied its investors'

wealth 49-fold. You could only get that return by holding onto the stock through thick and thin. It was not always smooth sailing. In 2008, to take an extreme, the stock was more than cut in half. Think what a mistake it would have been to sell it!

That's why Donville's focus on ROE is helpful. Just looking at that "Stellar returns" table above, you would not have sold. I have seen similar presentations of ROEs by firms. Remember Phelps's presentation of Pfizer's annual results over a 20-year period? You see steady 15–19 percent ROEs, year in and year out — for twenty years. He asks you, "Would a businessman seeing only those figures have been in and out of the stock?"

Of course, the answer is no. Which begs the question: why do so many investors show an inability to sit still? That's a question you'll have to answer for yourself. People have put forward all kinds of answers. But know this: the only way to make a 49-fold return, or a hundredfold return, is to "buy right and hold on," as Phelps says.

Even lower rates of return pile up impressively. A 15 percent return means an investment doubles in 5 years and quadruples in 10. In 20 years, that pile is more than 14 times larger than it was at the start.

Searching for 100-Baggers in High-ROE Stocks

Jason Donville's Capital Ideas Fund has been a top performer since inception in 2008.

Investing in companies with high and lasting ROEs is the special ingredient that gives his fund such a kick. I called Jason and explained the 100-bagger project and my initial findings. Many 100-baggers enjoyed high ROEs, 15 percent or better in most years.

"That's exactly right, and that's the kind of stuff we look for," he said. We fell into discussing his approach and the magic of great-performing stocks.

Donville found his inspiration in Warren Buffett — a least one